protection in this regard and what does not. This in turn gives rise to even more confusion concerning the desirability of those stocks not listed on any exchange. Such stocks are commonly called “over-the-counter” stocks.

The reason for this confusion lies in basic changes that have come over common stock buying in the last quarter century—changes that make the markets of the 1950's very different even from those as recent as the never-to-be-forgotten 1920's. During most of the 1920's and in all of the period before that, the stock broker had as customers a rela-tively small number of rather rich men. Most buying was done in large blocks, frequently in multiples of thousands of shares. The motive was usually to sell out to someone else at a higher price. Gambling rather than investment was the order of the day. Buying on margin—that is, with borrowed funds—was then the accepted method of operation. Today a very large percentage of all buying is on a cash basis.

Many things have happened to change these colorful markets of the past. High income and inheritance tax rates are one. A more important influence is the tendency toward a levelling of incomes that continues year after year in every section of the United States. The very rich and the very poor each year grow smaller in number. Each year the middle groups grow larger. This has produced a steady shrinkage of big stock buyers, and an even greater growth of small stock buyers. Along with them has come a tremendous growth in another class of stock buyer, the institutional buyer. The investment trust, the pension and profit-sharing trusts, even to some degree the trust departments of the great banks do not represent a few big buyers. Rather they are a few professional man-agers entrusted with handling the collective savings of innumerable small buyers.

Partly as a result of all this, and partly as a cause helping to bring it about, basic changes have come in our laws and institutions as they affect the stock market. The Securities and Exchange Commission has been created to prevent the type of manipulation and pool operation that spurred on the rampant stock market gambling of the past. Rules are in force limiting margin buying to a fraction of what was formerly considered customary. But most important of all, as already discussed in an earlier chapter, the corporation of today is a very different thing from what it used to be. For the reasons already explained, today's corporation is designed to be far